Advanced Empirical Finance: Topics and Data Science

Latent factors

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Today

- Principal components of returns
- Risk-premium PCA
- Latent factors and the SDF

Principal components of returns

TBD

Risk-premium PCA

TBD

Latent factors and the SDF

TBD

Before the next lecture

- **Exercise 7:** Empirical asset pricing via machine learning
- **Read:** Gu, Kelly & Xiu (2020)